

ECONOMICS PAPER 2
(Mock Test 43)
Question-Answer Book

Time allowed: 1 hour 30 minutes
This paper must be answered in English

INSTRUCTIONS

- (1) After the announcement of the start of the examination, you should first write your Candidate Number in the space provided on Page 1 and stick barcode labels in the spaces provided on Pages 1, 3, 5, 7, 9, 11 and 13.
- (2) This paper consists of two sections, A and B. Answer ALL questions in sections A and B.
- (3) Write your answers in the space provided in this Question-Answer Book. Do not write in the margins. Answers written in the margins will not be marked.
- (4) Supplementary answer sheets will be supplied on request. Write your candidate number, mark the question number box and stick a barcode label on each sheet, and fasten them with string INSIDE this book.
- (5) No extra time will be given to candidates for sticking on the barcode labels or filling in the question number boxes after the ‘Time is up’ announcement.

Please stick the barcode label here.

Candidate Number									
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Marker's Use Only	
Marker No.	
Question No.	Marks
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Total	

Section A (30 marks)

1. Oscar is considering his career path after university graduation. His order of preference is as follows:

First option: to work as an administrative officer in the government
Second option: to work as a junior accountant in an accounting firm
Third option: to study a master's degree programme

Suppose Oscar has been awarded a scholarship for admission to the master's programme by the university. Analyse whether Oscar's opportunity cost for choosing to work as an administrative officer in the government will ***necessarily*** remain unchanged. (3 marks)

2. In January 2026, HSBC Holdings plc (stock code: 0005) privatised Hang Seng Bank Limited (stock code when listed: 0011) at \$155 per share. After the completion of the privatisation, Hang Seng Bank became a wholly-owned subsidiary of HSBC Holdings and was delisted from the Hong Kong stock exchange.

- (a) State the type of business ownership of Hang Seng Bank Limited before privatisation. Apart from the above effect, state **ONE** change Hang Seng Bank Limited would undergo after the privatisation is completed. (2 marks)
- (b) Before the announcement, the share price of Hang Seng Bank was lower than \$155. **WITHOUT** using a diagram, explain why the share price of Hang Seng Bank rose after the announcement even though the proposal of privatisation had not yet been approved. (2 marks)

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3. Ocean Park Corporation recorded a loss in the 2024/25 financial year.

- (a) A current affairs commentator has suggested closing part of the recreational facilities in Ocean Park Hong Kong to save costs. Give **ONE** example of a variable cost that could be saved through this proposal. Explain your answer. (2 marks)
- (b) Explain to which type of factor of production the marine animals in Ocean Park Hong Kong belong. (2 marks)
- (c) Ocean Park Hong Kong employs different staff members to handle its operations, including performers, engineers, kitchen staff, management personnel, etc. What economic principle is illustrated in the above practice? Suggest **THREE** reasons why the application of this principle can increase labour productivity. (4 marks)

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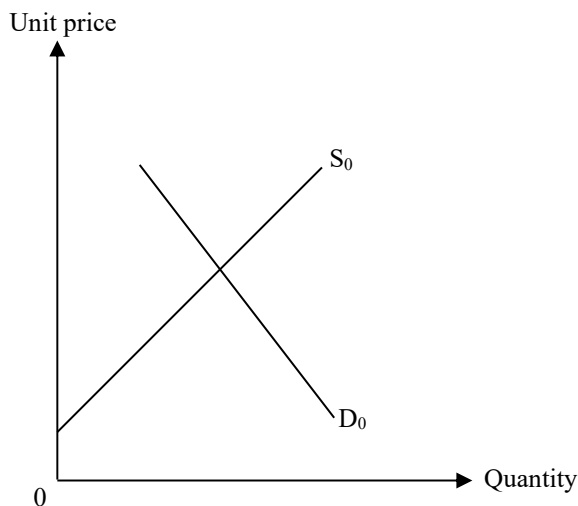
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4. Suppose the government of a country imposes a per-unit sales tax on good X.

- (a) **WITHOUT** using a diagram, state under what condition the consumers' tax burden will be greater than the producers' tax burden. (1 mark)
- (b) With the aid of Figure 1, explain how the imposition of the per-unit sales tax will affect the economic efficiency of the market for good X. (4 marks)

Figure 1



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5. The government of Country A provides free skills enhancement courses to unemployed persons.

(a) Give **ONE** reason to explain why these courses are economic goods. (1 mark)

(b) Explain how these courses can improve the equity of Country A. (3 marks)

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6. Due to bad weather, the harvest of cocoa beans has decreased substantially. At the same time, Country A is experiencing an economic recession, and chocolate is a normal good in Country A.

With the aid of a diagram, explain under what condition the price of chocolate in Country A will decrease.

(6 marks)

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END OF SECTION A

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Section B (40 marks)

7. The following table shows the average monthly salaries and average working hours of supervisory and technical workers, and clerical and secretarial workers in Hong Kong's property management industry in September 2025.

	Average monthly salaries	Average number of normal working hours per day	Average number of standard working days per month
Supervisory and technical workers	22,771	9	24
Clerical and secretarial workers	17,632	8	23

- (a) Explain which type of production the above workers engage in. (2 marks)
- (b) With reference to the table above, suggest **TWO** possible reasons to explain the difference in the average monthly salaries between supervisory and technical workers and clerical and secretarial workers. (4 marks)
- (c) 'When workers switch to other industries, the wages of supervisory and technical workers will fall by a larger percentage than those of clerical and secretarial workers.' In terms of mobility of labour, justify this statement. (3 marks)

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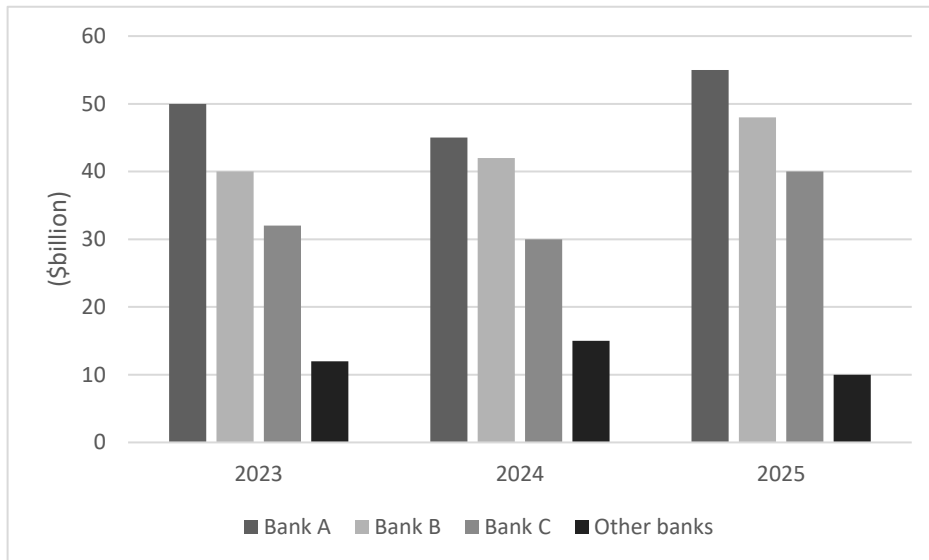
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8. Country A has many banks providing loan services.

Source A: Loan amounts of the three largest banks in Country A from 2023 to 2025



Source B: A news report about an acquisition made by a bank

Bank A proposes to acquire a credit reporting agency. A credit reporting agency is an institution that specialises in collecting, organising and providing credit reports of borrowers to banks. It helps banks assess loan risks, decide whether to grant loans and determine the interest rates for loans, etc.

- (a) Refer to Source A. Which type of market structure is the bank loan services market in Country A most likely to belong to? State **TWO** features of this type of market structure. (3 marks)
- (b) Suppose the government of Country A issues more licenses, allowing more finance companies to participate in the loan business. Explain how this would affect the price elasticity of demand for bank loan services. (3 marks)
- (c) Refer to Source B. Explain which type of integration this acquisition belongs to and state **TWO** possible motives for this type of integration. (4 marks)

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9. According to observations, some shops in shopping malls in Hong Kong have been unable to find tenants, and some premises have remained vacant for a long period.

Source A: News report on shops in Hong Kong shopping malls

Recently, many people on social media have been discussing the rising shop vacancy rates in shopping malls, with some units remaining vacant for a long time without being rented out.

A resident said that the vacancy problem in the small shopping mall near his home is serious, causing him inconvenience. He needs to travel to large shopping malls in other districts to buy daily necessities. He also pointed out that the vacancy problem in large shopping malls is less serious.

A politician stated that population ageing is one of the reasons for the rising shop vacancy rate, because the elderly generally consume less.

Source B: A suggestion from a shopping mall tenant



A tenant of a shopping mall

When more shops in a shopping mall close down, fewer visitors come to the mall and the business of the remaining shops also worsens as a result.

If there are measures that can reduce the vacancy rate of shop premises and attract visitors, all shops can benefit.

Source C: Views of some stakeholders

 A tenant of a large shopping mall	Having other shops in the shopping mall helps attract more visitors, which indirectly reduces the average operating costs of my business.
 An owner of shop premises in a shopping mall	If my shop premises remain vacant for a long time, I will use them to operate my own business.

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- (a) Refer to Source A. With the aid of a demand-supply diagram, explain the situation of the rising vacancy rate mentioned by the politician in Source A. (6 marks)
- (b) Refer to Source A. Explain how residents travelling to more distant areas for shopping would affect the average number of items they purchase on each shopping trip. (3 marks)
- (c) In terms of the opportunity cost of using the shop premises to operate her own business, explain the plan of the owner of shopping mall shop premises in Source C. (2 marks)

For part (d), candidates are required to present their answer in essay form. Criteria for marking will include use of sources and economic theories, relevant content, logical presentation and clarity of expression.

- (d) Suppose the following suggestion is given to boost the retail market:

To provide residents a subsidy calculated at a fixed percentage of their consumption amount when they shop in local shopping malls

With reference to the above sources and your own knowledge in economics, discuss the effects of the suggestion on Hong Kong, including:

- economic efficiency
- the Gini coefficient based on post-tax post-social transfer household income
- the vacancy rate of shop premises in shopping malls

(10 marks)

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